1.8 Zara Supply Chain — Case Handout

> **Topic 1.8 Supply Chains** · Read before class. Be ready to discuss.

Background

Zara is a Spanish fast fashion retailer and the flagship brand of the **Inditex Group**, the world's largest fashion retailer. Founded in 1975 in Arteixo, Spain, Zara operates over **6,000 stores** in 96 countries. Unlike most fashion brands, Zara's model is built on **speed** — a new design goes from sketch to store shelf in **2 weeks**, compared to the industry average of **6 months**.

Zara owns factories in Spain and nearby countries (rather than outsourcing to Asia), operates one central distribution center in Arteixo through which every garment passes, and produces in small batches with store inventory refreshed twice a week.

Key Events

Year	Event
1975	First Zara store opens in Arteixo, Spain; founder Amancio Ortega starts with a single shop
1985	Inditex Group formed; Zara becomes the core brand of a new parent company
1990s	Own factories and central distribution center built in Spain; the 2-week supply chain model takes shape
2000s	Global expansion — stores open in 60+ countries; same supply chain model replicated worldwide
2010s	Store count exceeds 6,000; annual revenue surpasses $20 billion
2020s	Competitors (Shein, H&M) challenge Zara on speed; Shein's model delivers new designs in days using a different supply chain approach

Zara Supply Chain Data

Speed-to-shelf timeline

Stage	Zara Timeline	Industry Average
Trend spotted to design ready	Monday to Friday (same week)	Weeks to months
Sketch to store shelf	**2 weeks**	**6 months**

Production and inventory model

- Produces in **small batches** — not millions of units at once
- Store inventory is **refreshed twice a week**
- If a style does not sell, it is removed within weeks
- **No markdowns, no excess inventory**

Own factories vs. outsourcing

Factor	Zara (own factories)	Typical brand (outsourced)
Location	Spain and nearby countries	Asia and other low-cost regions
Unit cost	**Higher**	**Lower**
Speed and control	Faster production cycles, full quality control	Longer lead times, less direct oversight

Distribution center

- **Every garment** for every store worldwide passes through **one central facility** in Arteixo, Spain
- Garments arrive and ship out within **hours** — the facility does not hold inventory long-term
- A distribution center moves inventory through quickly; a warehouse stores inventory long-term. Zara's facility operates as a distribution center

End-to-end supply chain

Stage	Zara Approach
Design	In-house design team, reacts to trends within days
Raw materials	Sourced directly from suppliers
Manufacturing	Own factories in Spain and nearby countries
Distribution	One central facility in Arteixo; garments move in hours
Retail	6,000+ stores; inventory refreshed twice per week

Questions

1. Respond to parts A, B, and C.

Zara's supply chain spans five stages: design, raw materials, manufacturing, distribution, and retail.

(A) Identify how Zara's approach at each of the five stages differs from a typical fashion brand.

(B) Explain how the speed requirement at one stage (design) creates specific requirements at the other four stages.

(C) Predict what would happen to Zara's supply chain if the company moved its central distribution center from Spain to Vietnam to be closer to outsourced factories.

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2. Respond to parts A, B, and C.

Zara chose to own factories in Spain and nearby countries instead of outsourcing to lower-cost regions in Asia.

(A) Describe the tradeoff Zara made between unit cost and speed when choosing to own factories.

(B) Explain why Zara's unit cost is higher than competitors who outsource, and identify what Zara gains in return.

(C) Recommend whether Zara should outsource 50% of production to Asia to reduce costs. Support your recommendation with evidence from the scenario.

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3. Respond to parts A, B, and C.

Zara's central facility in Arteixo processes every garment for all 6,000+ stores worldwide, moving items through within hours rather than storing them.

(A) Describe the difference between a facility that moves inventory through quickly and a facility that stores inventory long-term.

(B) Explain the risk of routing all global garments through one central facility.

(C) Identify one advantage of this centralized approach that a company using multiple regional warehouses would not have.

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4. Respond to parts A, B, and C.

Zara's 2-week turnaround depends on owned factories, centralized distribution, and small-batch production all working together. Competitors have not been able to replicate this system.

(A) Describe what makes Zara's supply chain difficult for competitors to copy.

(B) Explain why a competitor cannot achieve Zara's speed by simply copying one element (for example, building a central distribution center) without the other elements.

(C) Evaluate whether Shein's supply chain model (which delivers new designs in days) is a greater threat to Zara than traditional competitors like H&M.

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5. Respond to parts A, B, and C.

Zara produces in small batches and refreshes store inventory twice a week, while traditional fashion brands produce large batches months in advance.

(A) Describe what happens to unsold inventory in each model.

(B) Explain how Zara's small-batch approach reduces financial risk compared to producing large batches six months before a selling season.

(C) Identify one disadvantage of Zara's small-batch model compared to large-batch production, and explain when a company might prefer the large-batch approach.

Keep this handout for reference during class discussion.